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STATE-WAR-NAVY COORDINATING SUBCOMMITTEE
FOR THE FAR EAST

CUSTODY OF JAPANESE ARCHIVES AND DIPLOMATIC PROPERTY
References: a. SWNCC 181/D
b. SFE 117

Note by the Secretary

1. The enclosure, a revision of SFE 117 as approved by the Subcommittee at their 38th Meeting on 1 September 1945, is circulated for information.

2. The approved report was forwarded to the State-War-Navy Coordinating Committee on 1 September 1945.

HUGH D. FARLEY,
LIEUT., USNR,
SECRETARY.

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ENCLOSURE

CUSTODY OF JAPANESE ARCHIVES AND DIPLOMATIC PROPERTY

Report by the State-War-Navy Coordinating Subcommittee for the Far East

THE PROBLEM

1. To prepare messages for transmittal to ~~General of the Army MacArthur~~ the Supreme Commander for the Allied Powers which contain:

a. Clarification and exposition to him of the authority which the President considers he is to exercise in his position as Supreme Commander for the Allied Powers; and

b. Specific instructions concerning the matter of Japanese archives and diplomatic property.

FACTS BEARING ON THE PROBLEM

2. See Appendix "A".

DISCUSSION

3. The matter noted in paragraphs 4 and 5 of Appendix "A" has indicated the need, as expressed by SWNCC 181/D, for the expression of views as outlined in paragraph 1 above.

4. In signing the surrender instrument the Emperor and the Japanese Government ~~has in effect ceded its authority to~~ have expressly subordinated their authority to that of the Supreme Commander for the Allied Powers. The ~~absolute~~ authority given the Supreme Commander to "take such steps as he deems proper to effectuate the surrender terms" has foreclosed all argument on this point. By this provision the Japanese ~~are precluded from questioning~~ lose the right to challenge any action taken by the Supreme Commander, whatever it may be. Quite apart from this

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language it is unthinkable that the Supreme Commander should be required to haggle with the Japanese as to the meaning of words or over any action that he might take in relation to the occupation. If the door is opened in any case, it is opened in all. The Supreme Commander will be guided by policies determined upon by our government, with or without ~~consultation~~ agreement with the Allied Powers; but these policies vis-a-vis Japan will be determined upon by us unilaterally and without discussion or bargaining with the Japanese as to the meaning of the Potsdam Declaration or any other document. Within the framework of these policies, the authority of the Supreme Commander to take such steps for their implementation as he deems appropriate must be absolute. To require constant reference from the field on matters of implementation would create an equally impossible situation. Only the Supreme Commander is able to act effectively, since he is present on the ground and has superior knowledge of existing conditions.

5. The United States has certain broad and fundamental objectives in the Pacific and the Far East, the most important being the establishment and maintenance of peace and security. In resolving any question of policy regarding Japan the primary consideration of this government must be the attainment of these basic objectives. The Potsdam Declaration is not, and is not intended to be, a complete or definitive statement of these objectives or of all policies appropriate ~~for~~ to ~~their~~ the attainment of these objectives, but is, rather a statement of our intentions regarding certain matters specified therein. Nor is the Potsdam Declaration a charter beyond the four walls of which the United States cannot go in formulating policies for the attainment of its basic objectives. To circumscribe our policies by restricting them to the language of that document alone would be highly unrealistic and might very well defeat our ultimate aims.

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6. For these reasons it is submitted that in relation to questions concerning the occupation of Japan, or any other question arising in the Far East, the standard of reference must be the basic policies and objectives of the United States taken as a whole, and decision must be reached in relation thereto and not upon examination of the Potsdam Declaration alone.

7. The statement of our intentions contained in the Potsdam Declaration will be given full effect. It will not be given effect, however, because we consider ourselves bound in a contractual relationship with Japan as a result of that document. It will be respected and given effect because the Potsdam Declaration forms a part of our policy with relation to Japan and with relation to peace and security in the Far East.

RECOMMENDATIONS

8. It is recommended:

a. that the initial draft dispatches at Appendix "B" and Appendix "C" be approved by the State-War-Navy Coordinating Committee; and ~~processed as recommended in paragraph 4 of the Enclosure to SWNCC 181/D.~~

b. that Message No. 2 at Appendix "C" not be transmitted prior to the dispatch of Message No. 1 at Appendix "B".

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APPENDIX "A"

FACTS BEARING ON THE PROBLEM

1. Paragraph 6 of the Instrument of Surrender reads as follows:

> "We hereby undertake for the Emperor, the Japanese Government and their successors to carry out the provisions of the Potsdam Declaration in good faith, and to issue whatever orders and take whatever action may be required by the Supreme Commander for the Allied Powers or by any other designated representative of the Allied Powers for the purpose of giving effect to that Declaration."

2. Paragraph 8 of the Instrument of Surrender reads as follows:

> "The authority of the Emperor and the Japanese Government to rule the state shall be subject to the Supreme Commander for the Allied Powers who will take such steps as he deems proper to effectuate these terms of surrender."

This authority was transmitted by the President to General of the Army MacArthur in a Directive on 12 August 1945. (SWNCC 21/6, Enclosure "C")

3. Paragraph 6 of the Potsdam Declaration reads as follows:

> "There must be eliminated for all time the authority and influence of those who have deceived and misled the people of Japan into embarking on a world conquest. We insist that a new order of peace, security, and justice will be impossible until irresponsible militarism is driven from the world."

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4. On 14 August 1945, the Department of State, through the Swiss Government, asked the Japanese Government to issue instructions to its diplomatic and consular officials in neutral nations to turn over all property and archives to the custody of Allied representatives. The Japanese replied through the Swiss that they regretted that they could not comply with the U.S. demand, since this did not conform with any terms of the Potsdam Declaration. Subsequently, General of the Army MacArthur was requested, when issuing instructions to the Japanese, to make provisions for the surrender of Japanese diplomatic and consular property and archives to be the custody of the Allies.

5. General of the Army MacArthur replied to the effect that since the premises are located in foreign countries he had no power to enforce the demand, and furthermore, that the Japanese would make the same reply to him as had been made to the Department of State. He therefore suggested that the desired purpose could be accomplished by pressure on higher governmental levels.

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APPENDIX "B"

Message Number 1

1. The authority of the Emperor and the Japanese Government to rule the State is ~~subject~~ subordinate to you as Supreme Commander for the Allied Powers. You will exercise your authority as you deem proper to carry out ~~the directives which are issued to you~~ your mission. Our relations with Japan do not rest on a contractual basis, and Since your authority is ~~absolute,~~ supreme, you will not entertain any question on the part of the Japanese as to its scope.

2. Control of Japan shall be exercised through the Japanese Government ~~as long as~~ to the extent that such an arrangement produces satisfactory results. This does not prejudice your right to act directly if required. You may enforce the orders ~~given~~ issued by you ~~through~~ by the employment of such measures as you deem necessary, including the use of force.

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APPENDIX "C"

Message Number 2

There is no immediate urgency for accomplishment of directive contained in WAR 83582, 21 August. After you have satisfactorily established control over the Japanese Government, you will require it to comply with the order called for in such directive. This answers your C-36364 of 24 August.